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Market View

No easy answers after leverage flush

At this point, several news agencies have tried to unpack the events leading up to last Friday's downturn in crypto markets, which wiped out over \$19B in leveraged positions. Consequently, we won't rehash the who, what, when, and why in too much detail, except to correct any misconceptions on the sequence of events. However, we focus more on where this leaves the state of crypto markets today.

Although the immediate catalyst was a stray tweet from President Trump announcing 100% tariffs on Chinese imports, **several conditions enabled this event to reach the magnitude that it did**. That includes excessive leverage, fragmented liquidity across multiple exchanges, and the rise of cross-margined collateral – all of which obfuscated the aggregate risk being taken by many large crypto traders.

Indeed, we think market concepts like price convexity are difficult (or at least unintuitive) for most market players, but the added challenges of thinly traded altcoin markets contributed to poor risk management. Moreover, platforms are much more interconnected now than they were previously, which may be having unintended consequences on trading.

It's tough to pinpoint exactly how much leverage was flushed out of the system, but below we proxy this using the ratio of total open interest in perpetual futures and options across platforms (including centralized exchanges like Binance and Deribit to decentralized exchanges like Hyperliquid) relative to the total crypto market cap excluding stablecoins.

Chart 1. Systemic leverage ratio captures one of the largest forced unwinds in crypto history

What this systemic leverage ratio tells us is that the crypto machine had close to 7% in purely speculative exposure (i.e. counting only directional bets and excluding hedges) prior to the liquidation cascade. That is, since early May, we have seen a buildup in systemic leverage, representing a near doubling of derivative exposure relative to crypto's market cap. The sharp drop (visible in Chart 1) on

October 10 captures the **massive deleveraging to sub-4% levels** before some slight recovery this week – putting us right around where we started the year.

Our view: The leverage ratio's steady climb earlier this year demonstrates the procyclical nature of leverage in the crypto space, as speculative positioning grew faster than the underlying crypto market value, contributing to the market fragility. On the other hand, the chart nicely contextualizes how markets have returned to structurally healthier leverage levels following the purge, which may be able to provide the foundation for potential upside. That said, the timing remains highly uncertain.

As we noted in our [October positioning report](#), the altcoin OI-dominance ratio sat above the 1.4 danger line that has preceded past liquidation waves—warranting caution. **After the leverage flush on Oct 10, the ratio finally reset to ~1.2.** We think that lowers the odds of another near-term cascade, but it doesn't automatically cue a bitcoin rally; from here, price action likely hinges even more on macro and global liquidity as volatility from liquidations becomes more tempered.

Chart 2. Altcoin open interest dominance ratio resets out of the danger zone

Behind the scenes

One of the theories circulating on social media suggests that a drop in the value of USDe (Ethena's synthetic stablecoin) on Binance may have initiated the cascade of liquidations; however, **we believe that theory doesn't accurately reflect the right order of events.** In fact, altcoins dumped first—with names like SUI printing intraday lows before USDe broke meaningfully below \$1 on Binance—implying a market-wide liquidity shock was already in motion (Chart 3). After the tariff headline, market makers pulled quotes, depth vanished, and thin books let sells gap through levels. That initial vacuum triggered forced unwinds across majors and alts. Only then did the pressure spill into “stable” rails.

USDe's discount appears to have been venue-driven. In other words, the price instability on Binance was *not* a protocol solvency problem, and it arrived *after* the cascade was underway. The sharpest prints (~\$0.65) were concentrated on Binance, while the USDe on primary DeFi venues stayed much closer to par and redemptions remained operational.

We think the most plausible reason for that divergence is that the exchange plumbing was under stress: with top-of-book size evaporating and internal pricing/oracle logic leaning heavily on its own order book, USDe's spot value on that venue fell further and

propagated into margin/borrowing systems, deepening the discount locally.

Our view: As liquidity providers returned and spreads normalized, USDe re-pegged (on Binance and other platforms) within hours—behavior consistent with a transient liquidity vacuum rather than collateral failure.

Chart 3. USDe depegs after altcoin liquidations

Zcash deep dive

Zcash is a privacy-focused cryptocurrency that enables fully encrypted (“shielded”) transactions using [zk-SNARKs](#), **giving users the option to hide the sender, recipient, and amount while preserving onchain validity.** The network supports both transparent (BTC-style) and shielded addresses and allows value to move between them, so it can function as a conventional crypto rail (when transparency suffices) and as an anonymity layer when confidentiality matters.

A broader privacy narrative has pushed ZEC back into the conversation. Over the past few weeks, several catalysts have emerged to support Zcash’s parabolic rise:

- **Regulatory overreach:** As EU MiCA implementation and stricter KYC/transaction-monitoring rules advance, some users and builders seek compliant but privacy-preserving rails. Zcash’s selective-disclosure model positions it as an option that can balance transparency needs with transactional privacy.
- **Growth of institutional adoption:** While the entry of spot crypto ETF issuers and digital asset treasuries has been a key catalyst for the current crypto cycle, it has also made users of crypto rails more reticent about who’s in control of some of these networks.
- **Roger Ver DOJ settlement:** “Bitcoin Jesus” reached a \$48M tentative [deal](#) over alleged tax fraud tied to concealed BTC holdings, reigniting public discussion around privacy, self-custody, and traceability. This is pushing attention toward tools that can preserve confidentiality, with ZEC frequently cited as an option.
- **Product UX tailwinds:** Recent [Zashi wallet updates](#) streamlined cross-chain swaps, making it easy to move cash directly into shielded ZEC – reducing friction for everyday private finance. As a result, both (1) the share of supply held in shielded pools and (2) shielded transaction counts have climbed—evidence of utility, not just speculation.
- **Sector spillover:** Improvements to network-level privacy on a peer project (Monero’s [“Fluorine Fermi”](#)) validated the broader viability of anonymity tech. That upgrade revived interest across

the privacy cohort and contributed to a cross-asset re-rating that included ZEC.

- **Ethereum privacy cluster:** The Ethereum Foundation launched a [“Privacy Cluster”](#) team to focus resources on a series of privacy initiatives which signaled that privacy is moving from a niche sector to core infrastructure, creating positive spillovers for zk-proof assets like ZEC.
- **Institutional on-ramps:** [Grayscale’s expansion](#) of regulated ZEC vehicles for accredited investors provided a cleaner channel for capital to express the privacy thesis, helping translate the narrative into actual flow.

Our view: Together, these catalysts establish a coherent backdrop for the growing ZEC market: the rise in real-world incentives to transact privately, enhanced accessibility and UX for such transactions, and an anticipated decline in structural sell pressure. Under these conditions, ZEC’s privacy utility can translate from a purely momentum-driven trade into durable demand.

Zcash tokenomics

Beyond the news catalysts, **structural declines in supply pressure are expected over time, meaning positive demand shocks are meeting a thinner new-issuance pipeline.** ZEC’s issuance schedule decreases with each halving, pushing the implied inflation rate from early double-digits toward low single-digits across the late 2020s (Chart 4). When demand rises—whether from macro privacy narratives or new wallet/merchant integrations—there is progressively less miner supply to absorb it. With the **November 2025 halving** around the corner, we think market demand could be resilient into year-end.

Chart 4. Zcash issuance is slated to come down sharply with the November 2025 halving

From a technical perspective, the initial breakout had two stages: 1) an initial short squeeze, and then 2) momentum longs piling on. The first wave showed up as a spike in liquidations with funding negative, indicating shorts were forced out rather than longs paying up immediately (Chart 5, 6). Open interest rose after those initial liquidations with funding flipping positive, which implies momentum traders then chased the breakout with aggressive long positioning—turning a squeeze into a sustained move.

Our view: Though open interest remains highly elevated, we think the absence of persistent funding spikes suggests a large share is delta-neutral positioning rather than outright levered longs. We think that composition leaves more room for ZEC to extend as long as the privacy narrative stays intact.

Chart 5. ZEC liquidations versus open interest

Chart 6. ZEC funding rate versus price

Onchain privacy usage is inflecting, adding a fundamental leg beneath the price action. Shielded supply keeps grinding higher and shielded transactions just printed multiple step-ups to cycle highs, signaling that more value is not only moving into the private pool but also transacting there—evidence that ZEC’s core functions are being used rather than merely traded on narrative (Chart 7).

Chart 7. Shielded transaction counts and supply surged in 2025

Our view: With issuance drifting lower and shielded activity rising, the structural and functional backdrops look more supportive for Zcash than in prior years. However, we think the path from here is **mostly a function of how BTC trades**: last Friday’s cross-market liquidations and subsequent surge in bitcoin dominance showed that bitcoin’s tape still sets the liquidity regime for everything else. While Zcash exhibited relative strength on the bounce, it has since shown signs of dwindling momentum alongside bitcoin. If BTC rolls over, we think ZEC will likely follow.

Flows

Spot ETF net flows (Trailing 7-day sum)

Spot ETF assets under management (AUM)

Stablecoin circulating supply growth - by chain

Relative strength against Bitcoin

Coinbase CES Insights

After last Friday's liquidation event, we saw spot traders cautiously re-enter the market. Volumes were low for much of the week and long positioning remains suppressed, evidenced by most perp funding rates hovering in the low, single digits. Sentiment in the options market is turning more cautious as well, as option skew has become increasingly bearish throughout the week for both BTC and ETH.

From a technical analysis perspective, there are some key support levels to keep in mind. BTC is likely to find its nearest support around its 200-day moving average, near \$107,000. ETH may find support at the psychologically important big figures; \$3800, \$3700, etc. The token’s 200D MA doesn’t become a factor until \$3,156. Meanwhile, SOL's major long-term support is at its 200-day moving average, near \$173.55.

Financing Rates

The Week Ahead

**U.S. government data may be delayed due to the shutdown*

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